

Time Period 2 shows a much more volatile market: the one-year standard deviation of weekly returns is 234 index points and the VIX is far higher at 49.68.

By the traditional measures of risk, Time Period 1 is far less risky than Time Period 2. The problem is that Time Period 1 is Oct. 8, 2007, and Time Period 2 is March 9, 2009.

Traditional risk measures are backward looking and therefore assume that the future will look like the past. In the most common statistical expressions, the problem is far worse; it is assumed that the near future will look like the recent past. In both the time periods above, the near future looked nothing like the recent past.⁴

Treating risk as though it were just a mathematical expression of the recent past permitted the modern wealth adviser to tell his client that he could get predictable returns by mixing and matching various investments according to their historical volatility and gains. If Japanese industrial stocks always went down when the price of oil went up, for example, you were supposed to be able to eliminate “risk” by matching them up. Put together the right combination of equities, bonds, foreign stocks and so forth and the investor could expect a steady rate of return, guaranteed by standard deviations and statistical probabilities that sounded rather impressive. In other words, the young business school grad made it sound like the money was in the bag.

Of course, the money wasn’t in the bag at all. The pros were just guessing. Not only that, it was the worst kind of guesswork, because it pretended to be scientific.

The 20 years from 1980 to 2000 were exceptional. They were some of the best years in market history. These were the years after Paul Volcker tamed inflation and saved the U.S.-dollar-based monetary system. Stocks rose. Bonds rose. The Soviet Union collapsed. The Chinese turned to capitalism. Oil prices were low. The price of credit fell. Naturally, the markets reflected all this “good news.” (Even so, an article in *Barron’s* titled “The Money Paradox” tells us that in the 20 years ending in 2008, the average stock fund investor earned only 1.9 percent per year!⁵)

In particular, the falling price of credit meant that even bad investments could be refinanced at lower interest rates. The financial “accident rate”